20_Performance_and_Compensation_Bands

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Document classification: Internal — HR Access Only **Applies to:** HR, Department Heads, Managers involved in compensation decisions **Last reviewed:** January 2026 | **Owner:** People & Culture Team (Compensation)

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1. Purpose

This document defines how compensation bands are structured and how the performance rating scale connects to compensation and promotion decisions, complementing the Performance Management section of the HR Employee Handbook.

2. Compensation Band Structure

Each level (as defined in the Organization Hierarchy & Reporting Structure document) has a corresponding compensation band with a minimum, midpoint, and maximum, reviewed annually against market benchmarking data.

Level	Band Width	Typical Positioning for New Hires
L1 — Associate	Min to Midpoint	Min to 40th percentile of band
L2 — Mid-level	Min to Midpoint	30th-50th percentile of band
L3 — Senior	Min to Midpoint+20%	40th-60th percentile of band

L4 — Lead/Manager	Min to Midpoint+20%	40th-60th percentile of band
L5 — Principal/Director	Wide band, individually benchmarked	Case-by-case
L6 — Executive	Individually negotiated	Case-by-case

Specific numeric band values are maintained in the Compensation Portal (restricted to HR Compensation team and Department Heads) and are not published in this document, which is reviewed by a broader HR audience.

3. Performance Rating Scale

Rating	Label	Typical Distribution
5	Exceptional	~5% of employees
4	Exceeds Expectations	~20% of employees
3	Meets Expectations	~55% of employees
2	Below Expectations	~15% of employees
1	Unsatisfactory	~5% of employees

Ratings are calibrated across teams within a function to reduce manager-to-manager rating inconsistency, facilitated by the HR Business Partner before ratings are finalized and communicated.

4. How Ratings Connect to Compensation

Rating	Typical Merit Increase Guidance	Promotion Eligibility

5	Top of increase range + bonus multiplier	Eligible
4	Above-average increase	Eligible with 2nd consecutive 4+
3	Standard increase	Not typically promotion-eligible this cycle
2	Minimal or no increase	Not eligible; Performance Improvement Plan considered
1	No increase	Performance Improvement Plan required

Actual increase percentages vary by year based on the Company's overall compensation budget, approved annually by the CFO and Head of HR, and communicated to managers ahead of each review cycle.

5. Promotion Process

Promotion to L4 (Lead/Manager) and above requires:

1. Two consecutive cycles rated 4 or above.
2. A promotion packet prepared by the manager, reviewed by the Department Head.
3. Calibration review with HR to confirm scope/impact matches the target level.
4. Final approval from the Department Head and Head of HR.

Promotions are typically processed twice yearly, aligned with the bi-annual performance review cycle described in the HR Employee Handbook.

6. Compensation Review Cycle

Activity	Timing
Performance reviews completed	End of March / End of September
Calibration	First 2 weeks of April / October
Compensation decisions finalized	Mid-April / Mid-October
Communicated to employees	Late April / Late October
Effective date of increase	May 1 / November 1

7. Off-Cycle Compensation Adjustments

Off-cycle adjustments (outside the standard review cycle) are made only in specific circumstances: a documented retention risk, a market-correction identified through benchmarking, or a significant scope change (e.g. taking on a much larger team). All off-cycle requests require Department Head and Head of HR approval, with Finance notified for budget tracking.

8. Common Questions This Document Answers

- **“How does my rating affect my raise?”** — Section 4.
- **“When do compensation decisions happen?”** — Section 6.
- **“What do I need for a promotion?”** — Section 5.
- **“Can I get a raise outside the normal cycle?”** — Section 7.

9. Contact

Compensation-specific questions should go to your HR Business Partner. This document does not cover individual band values — those are in the restricted

Compensation Portal.